

Urban co-operative banks' balance sheet expanded during 2024-25 on higher credit growth supported by deposits and borrowings. Their financial performance remained robust on the back of improved profitability, better asset quality and strong capital buffers. These gains were aided by ongoing consolidation and regulatory measures to strengthen resilience under the four-tier framework. Rural co-operatives continued to support agricultural credit delivery, although their performance varied across short-term and long-term institutions.

Introduction

V.1. Co-operative banks play an important role in India's financial system by extending last-mile credit and supporting localised financial intermediation. In recent years, urban co-operative banks are witnessing a steady consolidation through voluntary mergers and regulatory rationalisation under the four-tier regulatory framework. They recorded balance sheet expansion during 2024-25, supported by improved credit growth and higher deposit mobilisation. Their profitability improved on account of lower provisioning and higher non-interest income, while capital buffers and asset quality strengthened further. Among rural co-operatives, short-term credit institutions — comprising state and district central co-operative banks and primary agricultural credit societies — continue to play a pivotal role in agricultural finance. Both state co-operative banks and district central co-operative banks reported profits with improvement in asset quality during 2024-25. Performance of long-term cooperatives remains mixed with variation observed across states.

V.2. Against this backdrop, the rest of the chapter focuses on analysing the performance of urban and rural co-operative banks during the period under review.¹ Section 2 outlines the evolving structure of the co-operative banking sector, followed by an assessment of profitability, asset quality and capital adequacy of urban co-operative banks in Section 3. Financial performance of short-term and long-term rural co-operatives is examined in Section 4, which is followed by an overall assessment in Section 5.

2. Structure of the Co-operative Banking Sector

V.3. Co-operative banking structure in India includes urban co-operative banks (UCBs) and rural credit co-operatives (RCCs). While UCBs primarily serve the credit needs of urban and semi-urban areas, RCCs mainly cater to the agricultural and allied sectors in rural areas. UCBs are classified as scheduled or non-scheduled, based on (i) whether they are included in the second schedule of the Reserve Bank of India Act, 1934²; and (ii) their geographical outreach in terms of single-state or multi-state presence. RCCs, on the contrary, are classified into short-

¹ Primary agricultural credit societies and long-term rural credit co-operatives are outside the regulatory purview of the Reserve Bank. However, a brief description of their activities and performance is given in this chapter for the sake of completeness of the analysis.

² Apart from scheduled co-operative banks, scheduled commercial banks are also included in the same schedule of the Act.